

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_HERDING_021

Report date: 2026-09-06

1. Executive Summary

Analysis of INV_HERDING_021's trading history reveals a dominant behavioural pattern of **Herding**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-2.7%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Herding
Strategy Archetype	Day Trader
Max Drawdown	-2.7%
Sharpe Ratio	2.31
Sortino Ratio	5.46
Peer Risk Percentile	27th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: You held losing trades 0.7× longer than the average investor (your ratio: 0.70 vs population median 1.00).

Evidence: Trades showing this pattern: No specific trades identified

Consequence: Holding losing trades too long contributed approximately 28% of your total portfolio drawdown.

Herding

Pattern: You followed recent market momentum 67% of the time (vs population median 64%), indicating a tendency to buy high.

Evidence: Momentum-driven trades: No specific trades identified

Consequence: Entering trades after momentum peaks contributed approximately 61% of your total drawdown.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_HERDING_	NFLX	2023-01-11	2023-01-25	14	1453
INV_HERDING_	TSLA	2020-08-14	2020-08-18	4	1403
INV_HERDING_	NVDA	2024-01-26	2024-02-06	11	1371
INV_HERDING_	NVDA	2020-06-22	2020-07-09	17	1199
INV_HERDING_	PFE	2021-07-20	2021-08-04	15	1180
INV_HERDING_	AMZN	2022-06-06	2022-06-10	4	-1166
INV_HERDING_	NVDA	2023-08-21	2023-09-20	30	-1099
INV_HERDING_	AMD	2022-02-11	2022-02-28	17	1036
INV_HERDING_	BABA	2022-12-08	2022-12-15	7	-1011
INV_HERDING_	AMD	2022-07-19	2022-07-30	11	1005

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Diversify your portfolio by investing in at least 5-7 different stocks or assets to reduce the impact of herding behavior and make more informed investment decisions.
2. Set a stop-loss order for each trade to limit potential losses and avoid emotional decision-making, which can be triggered by loss aversion.
3. Take a 30-day time frame to evaluate your investment decisions, rather than reacting impulsively to short-term market fluctuations, to help manage loss aversion.
4. Research and invest in undervalued or underfollowed stocks, which are less likely to be influenced by herding behavior and can provide a more stable long-term growth opportunity.